



Liechtenstein



Funds: It is possible to conduct cross-border active marketing/selling of AIFs or UCITS where:

- the firm is appropriately authorised/licensed; and
- the appropriate filing has been submitted to market/pre-market the fund (although this is not required for the local private placement route).

Investment Management & Advisory Services (IMAS): It is only possible to conduct cross-border active marketing/provision of IMAS (arranging, execution of orders on behalf of clients, investment advice and portfolio management) where the firm has the appropriate licence.

Table of Contents

[General Marketing](#)

[Passive Marketing/Selling \(Reverse Enquiry\)](#)

[Pre-Marketing and Active Marketing/Selling of Funds](#)

A. [UCITS](#)

B. [AIFMD Marketing Passport](#)

C. [PPR](#)

D. [Approval regime for funds which are comparable to UCITS](#)

E. [Licensing Requirement](#)

[Active Marketing/Provision of IMAS](#)

[Additional Considerations](#)

[Definitions](#)

Key points in terms of the position in Liechtenstein are:



Reverse Enquiry: Responding to a reverse enquiry may be possible without triggering the above requirements where certain conditions are satisfied.



PPR: Marketing/selling an AIF is permitted in the following scenarios:

- via A36/A42 to Professional Investors with the prior approval of the FMA; and
- for non-EEA AIFs with a non-EEA AIFM, via a local private placement route which does not require any authorisation from, or notification to, the FMA provided marketing is restricted to certain permitted scenarios.



Approval to market/sell AIF to Retail Investors: It is possible to extend an AIF's approval to market/sell to Retail Investors but certain additional conditions must be satisfied. Facilities must be provided in the German language, if requested by the investor, although there is no requirement for a local agent based in Liechtenstein.



There is no third country exemption/cross-border licensing regime, except for UK TPR Firms: Where a firm's activities amount to an investment service (as assessed on case-by-case basis) then the MiFID II Licensing Requirement is triggered. Firms will either need to set up a Liechtenstein presence with the necessary authorisation or appoint a locally licensed intermediary unless they are an EEA Passporting Entity or a UK TPR Firm.

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Speedread: Certain general marketing activities may be permitted without triggering restrictions but should be considered on a case-by-case basis. Care should be taken not to refer to specific funds or services. Counsel advise that such activities are now under greater scrutiny of the FMA as they are concerned that they may circumvent regulatory requirements.

 The following activities are likely permitted without triggering fund notification and/or firm licensing requirements:

- attending or speaking at a finance related event (the event should not be organised/co-organised by the firm);
- socialising with prospective investors (care should be taken if the firm is inviting such prospects); and
- distribution of a business card.

Care should be taken that there is no mention of specific funds or services offered by the firm.

 The following activities may be permitted without triggering restrictions on a case-by-case basis:

- brand awareness and providing general information about the firm (however the FMA takes a conservative view and considers use of name/logo in adverts in newspapers to be marketing which triggers restrictions); and
- publishing articles/giving interviews (e.g. thought leadership pieces or macroeconomic analysis) provided they are not published in Liechtenstein or are actively distributed in Liechtenstein by the firm).

 The following activities are likely to trigger fund notification and/or firm licensing restrictions:

- product/service line awareness; and
- activities referring to an investment strategy or particular characteristics.

Recently, the FMA has become more sensitive to general marketing activities which are now under greater scrutiny. This should be assessed on a case-by-case basis. More specific references to funds will likely constitute marketing activities which are subject to authorisation/notification requirements in respect of the fund.

However, these activities may fall within permitted pre-marketing or may be permitted where they fall within the Local PPR (see *Pre-Marketing and Active Marketing/Selling of Funds* below).

Passive Marketing/Selling (Reverse Enquiry)



Speedread: It may be possible to respond to a reverse enquiry without triggering notification/approval requirements at a *fund level* (i.e. in respect of the relevant AIF or, in certain circumstances, UCITS) as well as the licensing requirements that apply at a *firm level* provided certain conditions are met. Counsel recommend liaising with the FMA regarding responding to a reverse enquiry in respect of a non-passported UCITS.

Further, the CBDF Directive contains an 18-month restriction on relying on a reverse enquiry, where the reverse enquiry relates to the units/shares of an AIF that was pre-marketed or that was established as a result of pre-marketing. There is currently no guidance but counsel recommend taking the view that this restriction applies irrespective of whether the investor making the reverse enquiry received the pre-marketing or not.

 **AIFs that have not been passported into Liechtenstein:** Limited

It is necessary to consider whether the Conditions for Permitted Reverse Enquiry apply. Firms should be aware of the 18-month restriction on responding to a reverse enquiry with respect to AIFs that have been pre-marketed in Liechtenstein.

UCITS that have not been passported into Liechtenstein: Very limited

Counsel recommend liaising with the FMA regarding responding to a reverse enquiry in respect of a non-passported UCITS as there is no explicit reverse enquiry regime for such funds. The position applicable to non-passported AIFs may potentially also apply to non-passported UCITS.

Passported AIFs and UCITS: Permitted

The activity should be permitted as the fund has been passported into Liechtenstein, although in respect of the Licensing Requirement it will be necessary to consider whether the firm has the required permissions unless the Conditions for Permitted Reverse Enquiry are met.

IMAS: Limited

It is necessary to consider whether the Conditions for Permitted Reverse Enquiry apply

Conditions for Permitted Reverse Enquiry: There is no explicit statutory reverse solicitation regime in Liechtenstein but a tolerated practice. Further, the FMA will adhere to pertinent European rules and standards. Local counsel recommend compliance with the following conditions (note that this list is not conclusive):

- the fund or service must be marketed solely on the unsolicited initiative of the investor;
- there must have been no marketing of the fund or service to the investor prior to the enquiry;
- it must relate to a specific fund or a specific service;
- each separate transaction/contract should be preceded by a separate reverse enquiry;
- any extensive activity following a large number of unsolicited approaches may create the impression that the firm is systematically circumventing the rules;
- the more reverse enquiries that are responded to, the higher risk of being seen as active marketing;
- it is helpful to have written confirmation from the investor that the sale of the fund or provision of the service occurred upon the investor's own initiative; and
- it is advisable to maintain adequate records which prove the investor's initiative.

Further, an investor's confirmation is not sufficient and cannot reasonably be relied upon by a firm who knew (or should have known under the circumstances) that the investor's confirmation is wrong or incomplete or has in any way been enticed by third parties whose conduct is attributable to the firm.

With respect to IMAS, an explicit reverse enquiry exemption is available for non-EEA firms, stating that such entity may provide investment services to an investor if the investor requested the service at the investor's own initiative. This may be applied analogously to non-passported EEA firms.

Pre-Marketing and Active Marketing/Selling of Funds



Firms will need to consider both fund and firm level requirements.

1. Fund Level Requirements

The requirements will depend on whether the fund is a UCITS or an AIF and whether marketing/selling via a marketing passport or the national private placement regime (**PPR**).

A. UCITS

Speedread: To actively market/sell a UCITS using the marketing passport route, it is necessary to make the relevant notification to the home Member State regulator and to comply with all associated requirements. In addition, the firm will need to be appropriately licensed to market/sell the UCITS. See the *Licensing Requirement* below.

FMA generally takes the view that mere “market sounding” (i.e. a form of pre-marketing) does not require the UCITS to be passported provided certain conditions are satisfied, including that the respective UCITS/sub-fund has not yet been created. In such situations, the Licensing Requirement is not triggered.

Note that a PR3 compliant prospectus may also be required under Liechtenstein legislation unless an exemption applies.



Pre-Marketing UCITS before UCITS marketing passport notification: Permitted only if certain conditions are satisfied

Pre-marketing is permitted where: (i) it is not related to a specific named UCITS; (ii) the fund is not yet ready to be offered; (iii) it does not enable an investor to make an investment decision; and (iv) no fund subscriptions have been collected yet. In such circumstances, and provided the firm is only doing this on an occasional basis or for the first time in Liechtenstein, it does not need to be licensed. Please note that this is based on local counsel's interpretation and care should be taken.



Active marketing/selling via UCITS marketing passport: Permitted

Permitted to Professional Investors and Retail Investors in Liechtenstein subject to notification to home Member State regulator and preparation of the necessary documents including the KIID/KID. See sections 6.1(b)-(c) of the Memorandum for Liechtenstein-specific requirements, including in relation to applicable timeframes and fees. Facilities must be provided for Retail Investors, although there is no requirement for a local agent based in Liechtenstein. For firm level requirements, see the *Licensing Requirement* below.



Active marketing/selling a UCITS that has not been passported into Liechtenstein: Not permitted

Non-passported UCITS cannot be actively marketed/sold into Liechtenstein. To actively market/sell an existing/identifiable UCITS to investors in Liechtenstein, it is necessary to complete the UCITS notification process.

B. AIFMD Marketing Passport

Speedread: To actively market/sell an AIF using the marketing passport route, it is necessary to make the relevant notification to the home Member State regulator and to comply with all associated requirements. Pre-marketing is permitted but care is required to ensure activities stay within the scope of permitted pre-marketing and that the informal letter is submitted.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.



Pre-Marketing AIF before AIFMD marketing passport notification: Permitted

Implementation of the CBDF Directive into Liechtenstein law is generally in line with the CBDF Directive.

Care is required to structure activities within the scope of permitted pre-marketing. See the onscreen report for details of the types of documents which can be used to conduct pre-marketing, whether they can be in draft or

final form and any required disclaimers. Within two weeks of any pre-marketing being conducted an informal letter must be sent by the EEA AIFM to its home Member State regulator.

Restrictions also apply to the firm conducting the pre-marketing – third parties must generally fall within the categories of EEA-regulated firms prescribed by the CBDF Directive.

Active marketing/selling via AIFMD marketing passport: Permitted

EEA AIFs with EEA AIFMs may be actively marketed/sold to Professional Investors subject to notification to the home Member State regulator of the AIFM. See section 4.2 of the Memorandum for Liechtenstein-specific requirements which apply in order to market a passported AIF into Liechtenstein, including in relation to applicable timeframes and fees. It is necessary to take steps to prevent the units/shares being marketed to Retail Investors (e.g. making it clear in documentation, including the subscription form, that only available to Professional Investors and a clause in distribution agreements clearly excluding distribution to Retail Investors). Full compliance with the AIFMD is required.

It is possible to extend the passport and market an AIF to Retail Investors where notification is made to the FMA and certain conditions are satisfied. See *PPR - Active marketing/selling to Retail Investors* below for conditions.

For firm level requirements, see the *Licensing Requirement* below.

C. PPR

Speedread: Where either the AIF or the AIFM is based outside the EEA, the AIFMD marketing passport is not available. Marketing/selling to Professional Investors is possible either: (i) via A36 or A42 AIFMD as implemented in Liechtenstein law and subject to compliance with the relevant requirements and following the receipt of approval from the FMA; or (ii) for non-EEA funds with a non-EEA AIFM, via a local private placement route where no authorisation/notification is required if marketing activities are restricted to certain permitted scenarios. Pre-marketing is not permitted prior to obtaining FMA approval.

The A36 or A42 routes may also be extended for distribution to Retail Investors provided certain additional criteria are satisfied. Note that a PR3 compliant prospectus may also be required for closed-ended funds unless an exemption applies.

In addition, the firm will need to be appropriately licensed to market/sell the AIF. See the *Licensing Requirement* below.

Pre-Marketing AIF before notification to use A36/A42 PPR: Not permitted

Local counsel have confirmed that implementation of the CBDF Directive into Liechtenstein law removed the ability to pre-market non-EEA AIFs by non-EEA AIFMs or by EEA AIFMs or an EEA AIF by a non-EEA AIFM therefore pre-marketing prior to using Article 36/42 is not possible in Liechtenstein.

The concept of pre-marketing is irrelevant for funds being offered via the local private placement route as no notification is required.

Active marketing/selling via PPR to Professional Investors: Permitted either following registration with the FMA, or for a non-EEA fund, satisfaction of certain requirements

There are two separate private placement routes available:

- **Article 36/42:** Permitted to Professional Investors following registration with the FMA provided the relevant requirements deriving from the AIFMD are met. In all cases it will be necessary for the AIFM to demonstrate that all necessary arrangements have been made in order to ensure that the AIF cannot be marketed to

Retail Investors (if not being distributed to Retail Investors) (see *AIFMD Marketing Passport* above and section 4.1(a) of the Memorandum for details of types of steps that are required).

- **Local PPR:** this is available for non-EEA funds with a non-EEA AIFM being marketed to any investor and does not require any fund authorisation from, or notification to, the FMA. At least one of the following must be adhered to:
 - either no public marketing/advertising or any such activity should not be frequent (no specific guidance on what amounts to “frequent”);
 - circle of addressees is determined and the addressees have an existing relationship with the marketing party;
 - circle of addressees should be small and limited (it is irrelevant the time period in which the addressees are contacted); or
 - there should be a written asset management contract with a professional asset manager confined to mere distribution of units (with no advisory activity).

See sections 4.1(a) and 7.1 of the Memorandum for more details on the routes referred to above, including, for Article 36/42, in relation to applicable timeframes and fees.

For firm level requirements, see the *Licensing Requirement* below.

 **Active marketing/selling to Retail Investors:** Permitted for AIFs registered with the FMA provided certain conditions satisfied

AIFs registered with the FMA via the Marketing Passport or A36/A42 PPR can be marketed/sold to Retail Investors following notification to the FMA and compliance with further conditions. See section 6.2(e)-(f) of the Memorandum for details of the conditions including fees. Facilities must be provided in the German language, if requested by the investor, although there is no requirement for a local agent based in Liechtenstein. It is also necessary to comply with PRIIPs requirements for a KID where an AIF is marketed to Retail Investors and a PR3 compliant prospectus may also be required for closed-ended funds unless an exemption applies.

For firm level requirements, see the *Licensing Requirement* below.

D. Approval regime for funds which are comparable to UCITS

 **Pre-Marketing fund before using approval route:** The law is not entirely clear on whether it may be possible to pre-market such funds on the same basis as UCITS funds. Therefore, specific local law advice should be sought on a case-to-case basis.

 **Active marketing/selling to Retail Investors:** Permitted with approval from the FMA

Certain non-EEA funds may be admitted for distribution to the public in Liechtenstein provided that the fund is comparable to a UCITS. Prior notification is required as well as appointment of a locally licensed bank as a paying agent. In practice these arrangements are frequently used by Swiss funds which are similar to UCITS. See Memorandum section 6.3 for details.

For firm level requirements, see the *Licensing Requirement* below.

2. Firm Level Requirements

E. Licensing Requirement

Speedread: The firm will need to obtain a local licence, be an EEA Passporting Entity or a UK TPR Firm, or appoint a local intermediary to market/sell the fund if the activity amounts to an investment service, which should be assessed on a case-by-case basis.

For pre-marketing of an AIF, this requires the firm to fall within the categories of EEA-regulated firms prescribed by the CBDF Directive.

EEA Passporting Entity: Permitted

For active marketing/selling, where the firm is the UCITS ManCo or AIFM of the fund, marketing should fall within the UCITS ManCo/AIFM's authorisation. To conduct related activities (e.g. provision of investment advice) it will need to check if it has the necessary permissions and passport these into Liechtenstein.

Other Firm: MiFID II Licence required unless a UK TPR Firm

UK TPR Firm: UK banks/investment firms which have notified the FMA in order to be able to provide cross-border investment services, investment activities and ancillary services to eligible counterparties and/or professional clients in Liechtenstein without being an EEA Passporting Entity or holding a local licence.

Otherwise, the firm must have a MiFID II Licence (which includes establishment of a substantial local presence) - see section 10 of the Memorandum for requirements.

For the position on intermediaries, see *Additional Considerations* below.

Active Marketing/Provision of IMAS



Speedread: The firm will need to obtain a local licence, be an EEA Passporting Entity or a UK TPR Firm or appoint a local intermediary to market/provide the IMAS.

EEA Passporting Entity: Permitted

Other Firm: MiFID II Licence required unless a UK TPR Firm

Unless the firm is a UK TPR Firm, see section 10 of the Memorandum for the requirements that apply in order to obtain a Liechtenstein MiFID II Licence (which includes establishment of a substantial local presence).

For the position on intermediaries, see *Additional Considerations* below.

The analysis in this section is also applicable to the marketing/provision of IMAS in relation to a single investor vehicle, a segregated managed account or a family office undertaking. Marketing/selling of these vehicles will not be caught by the AIFMD if they are structured to fall outside the definition of an AIF. However, note that it is possible that a family office undertaking could involve a private label fund structure or a similar fund structure which falls within the scope of the Investment Undertaking Act - specific advice should be sought from local counsel in this regard.



Use of Name & Good Marketing Practices

The use of the name "Liechtenstein" in the name of a product or service (as opposed to making reference to a fund being registered in Liechtenstein) is restricted and requires specific governmental approval.

Also, any marketing materials and its use must at all times comply with the conduct provisions of the Unfair Competition Act. This prohibits unfair or misleading marketing practices and selling methods.

Intermediaries

It is generally not necessary to use an intermediary in Liechtenstein, however it is quite common to use intermediaries for distribution of funds to Retail Investors and in relation to some investment services. Such intermediaries must themselves have obtained the necessary licence in Liechtenstein.

Fly-in meetings

Fly-in meetings are permitted where the firm is acting in compliance with the licensing/other requirements set out above. However, if the fly-in meetings are too frequent, the "temporary nature" of the cross-border services and reliance on EEA freedom of services may be at stake. This should be taken into account for both unsolicited approaches and for passported services. If the cross-border services are no longer of a "temporary nature", it could become questionable whether a frequent presence in Liechtenstein could qualify as a local Liechtenstein branch and as such trigger tax consequences in Liechtenstein.

Prospectus Regulation (PR3)

PR3 applies to interests in a closed-ended fund that constitute "transferable securities". An approved prospectus is required unless an exemption applies. The provisions of PR3 have also been extended in Liechtenstein to UCITS funds unless an exemption applies. See section 9 of the Memorandum for applicable exemptions.

Form and content requirements including disclaimers

See section 8.1(c) and the Appendices of the Memorandum for form and content requirements and disclaimers. In particular, the CBDF Regulation introduced certain requirements for marketing communications made by fund managers of UCITS and AIFs, regardless of the targeted investor. See the onscreen report for further information.

See also the Document Checklist on the aosphere report for a summary of these requirements – the checklist considers specific fact patterns and the key considerations that apply when preparing marketing documents.

Definitions



EEA Passporting Entity

A MiFID Investment Firm, CRD Credit Institution, UCITS ManCo or EEA AIFM authorised in another EEA Member State with appropriately scoped permissions and which has exercised its right to passport into the jurisdiction on the basis of its home Member State authorisation.

Professional Investors

Means a "professional client" as defined in Annex II of MiFID II. Includes:

- investment firms, credit institutions, insurance companies and other institutional investors that are authorised or regulated;
- large undertakings meeting two of the following criteria: (i) Balance sheet total: EUR 20 million; (ii) Net turnover: EUR 40 million; or (iii) own funds: EUR 2 million; and

- national and regional governments, public bodies that manage debt, central banks, and international and supranational institutions.

Please refer to section 4.1 of the European Framework Document for a fuller description of the types of investor who may fall within this definition.

Retail Investors

Means an investor which is not a Professional Investor.